FINM3013 Introduction to Financial Derivatives

Chapter 09

Class exercises

Multiple Choice Questions

1. An investor has exchange-traded put options to sell 100 shares for $20. There is a 2 for 1 stock split. Which of the following is the position of the investor after the stock split?
   A. Put options to sell 100 shares for $20
   B. Put options to sell 100 shares for $10
   C. Put options to sell 200 shares for $10
   D. Put options to sell 200 shares for $20

2. An investor has exchange-traded put options to sell 100 shares for $20. There is a $1 cash dividend. Which of the following is then the position of the investor?
   A. The investor has put options to sell 100 shares for $20
   B. The investor has put options to sell 100 shares for $19
   C. The investor has put options to sell 105 shares for $19
   D. The investor has put options to sell 105 shares for $19.05

3. Which of the following is an example of an option class?
   A. All calls on a certain stock
   B. All calls with a particular strike price on a certain stock
   C. All calls with a particular time to maturity on a certain stock
   D. All calls with a particular time to maturity and strike price on a certain stock

4. The price of a stock is $67. A trader sells 5 put option contracts (each contract gives the holder the right to sell 100 shares) on the stock with a strike price of $70 when the option price is $4. The options are exercised when the stock price is $69. What is the trader's net profit or loss?
   A. Loss of $1,500
   B. Loss of $500
   C. Gain of $1,500
   D. Loss of $1,000

5. Consider a put option and a call option with the same strike price and time to maturity. Which of the following is true?
   A. It is possible for both options to be in the money
   B. It is possible for both options to be out of the money
   C. One of the options must be in the money
   D. One of the options must be either in the money or at the money